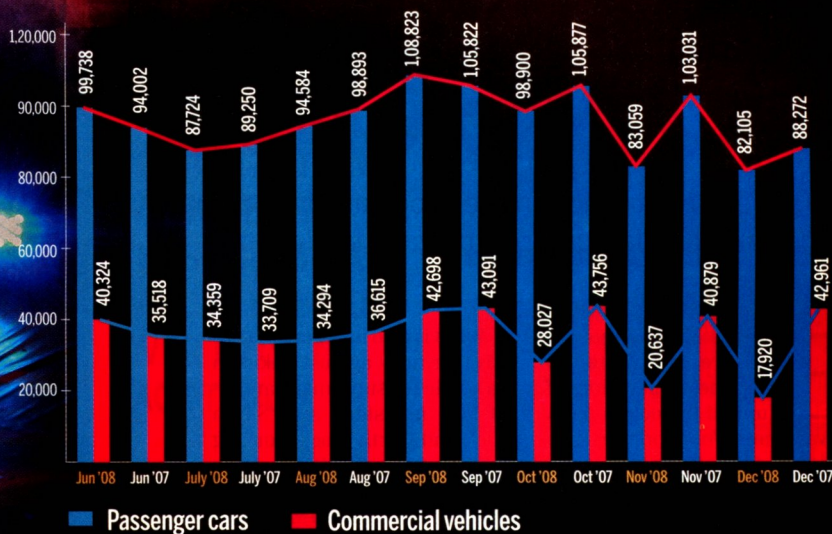


Rough Ride

Sales have seen a sharp downturn in '08 over corresponding months of '07



medium and heavy segments.

Though the Government has stepped in with excise cuts in its stimulus package, the pressure on bottomlines is likely to continue. So, the strategy is to somehow heighten consumer sentiment. In fact, the luxury segment at least, seems quite upbeat about the future. As Peter Kronschnabl, president, BMW India says, the faith in India's long-term growth story is intact. "The Indian Government's plan to invest \$450 billion in infrastructure and modernising road networks shows how dynamic this market actually is. We have sold 2,908 vehicles in India in 2008, and the recently launched all-new BMW 7 Series in three versions will be in the market soon," he adds.

Most manufacturers are combating the slowdown by tying up with public sector banks to make consumer finance easily available. Hyundai has tied up with Syndicate Bank to offer attractive auto loan schemes. Arvind Saxena, senior vice-president, Hyundai, says the situation needs more financing options and rationalised interest rates for the bene-

fit of customers. The bank will also finance second-hand cars—a segment that shows increasingly growing demand, says George Joseph, chairman and managing director, Syndicate Bank. Similarly, General Motors (GM) India has teamed up with the Bank of Baroda. "The partnership will help to undertake joint promotions and schemes to offer easy finance options for the sale of our vehicles both at wholesale and retail levels," says Karl Slym, managing director, GM India.

The other strategy is to introduce new models. Maruti has launched the A-Star, Hyundai i-20, Mahindra & Mahindra (M&M) XYLO, Tata Motors new Indigo CS and Indica Vista, Toyota Altis and Innova, and General Motors the Captiva. "The hype is creating much-needed excitement and is pushing up demand," says Rajesh Jejurikar, chief of operations, M&M. Honda Siel also plans to launch a new Accord in June. Says Jnaneshwar Sen, vice-president, marketing and sales, Honda Siel, "We have postponed by

two years the completion of our second factory in Rajasthan, but our plans on new rollouts are intact."

Elsewhere, Maruti Suzuki, which sold a record 67,005 vehicles in January, has done well with discounts across all models. Ashok Leyland, which suffered a 44 per cent drop in its revenue for the last quarter, has turned to other businesses like engine and spare sales to shore up its dwindling revenues. Says K. Sridharan, chief financial officer, Leyland, "Sales volumes are down by 66 per cent. Profitability has been adversely impacted, partly offset through strict control over expenditure." On the other hand, Honda Siel's Civic Hybrid and Hyundai's Kappa engine fitted in its i-10 are pushing for aggressive fuel efficiency to meet present cost cuts and future needs.

But the mood is still sombre. Auto industry leaders are lobbying for tax exemptions of at least five years for projects over Rs 500 crore and import duty cuts on machinery for setting up new plant or capacity expansion. For now, however, the industry will have to brave a bumpy ride. ■